

News

MOODY'S CORPORATION THIRD QUARTER 2022 EARNINGS CONFERENCE CALL

TUESDAY, OCTOBER 25, 2022

ROB FAUBER, SHIVANI KAK

Shivani Kak:

Thank you. Good afternoon, and thank you for joining us today. I am Shivani Kak, Head of Investor Relations. This morning, Moody's released its results for the third quarter of 2022, as well as our revised outlook for full year 2022. The earnings press release and a presentation to accompany this teleconference are both available on our website at ir@moody.com.

During this call, we will also be presenting non-GAAP, or adjusted, figures. Please refer to the tables at the end of our earnings press release filed this morning for a reconciliation between all adjusted measures referenced during this call and U.S. GAAP.

I call your attention to the "Safe Harbor" language, which can be found toward the end of our earnings release. Today's remarks may contain forward-looking statements within the meaning of the Private Securities Litigation Reform Act of 1995. In accordance with the Act, I also direct your attention to the "Management's Discussion and Analysis" section and the risk factors discussed in our Annual Report on form 10-K for the year ended December 31, 2021 and in other SEC filings made by the Company, which are available on our website and on the SEC's website. These, together with the "Safe Harbor" statement, set forth important factors that could cause actual results to differ materially from those contained in any such forward-looking statements.

I would also like to point out that members of the media may be on the call this morning in a listen-only mode.

Rob Fauber, Moody's President and Chief Executive Officer, will provide an overview of our results and outlook, after which he'll be joined by Mark Kaye, Moody's Chief Financial Officer, to answer your questions.

I will now turn the call over to Rob Fauber.

Rob Fauber:

Thanks Shivani. Good afternoon and thanks everybody for joining today's call.

Like I did last quarter, I'm going to start with a few takeaways. As everybody is aware, during the third quarter, macroeconomic and geopolitical conditions continued to deteriorate. And that further suppressed the global debt issuance markets from the already subdued levels that we have seen in the first half of the year. And at the same time, these conditions supported increasing customer demand for data and analytics to identify, measure and manage risk.

Against this backdrop, our MA business continued to perform well, with strong revenue growth of 14 percent, while MIS revenue declined by 36 percent. Overall, Moody's generated \$1.3 billion dollars in revenue, with an adjusted operating margin of 39 percent.

We expect that low issuance volumes, particularly in the leveraged finance space, will persist through the remainder of the year. As a result, we are revising several of our 2022 outlook metrics, including our guidance for total Moody's revenue – which is now expected to decline in the low double-digit range. We are also updating our outlook for full year adjusted diluted EPS to now be between \$8.20 and \$8.50.

In response to the expectation for continued economic headwinds, we are also taking decisive steps to reduce our expense run rate by at least \$200 million by year-end. The cost savings will be realized across the company and include a more than doubling in the size of our previously-announced Restructuring Program, as well as various additional cost efficiency initiatives.

Collectively, these actions put us in a position of strength as we head into 2023, and I will provide some additional details later in the call.

For the third quarter, MA recorded both strong revenue growth of 14 percent and a 9 percent increase in Annualized Recurring Revenue or ARR. With over half of MA's business outside the US, foreign exchange rates had an outsized impact on MA's revenue growth, lowering it by seven percentage points.

For MIS, the 36 percent decrease in revenue against the record prior year period was driven by a 41 percent reduction in issuance.

Altogether, this resulted in a 16 percent decline in Moody's revenue. The negative impact of foreign currency movements on total Moody's revenue was 4 percentage points.

Expenses grew just one percent in the third quarter as we continued to execute efficiency initiatives and emphasize cost discipline. The net impact of lower revenue and controlled expenses translated to adjusted operating income of \$497 million dollars for the quarter and adjusted diluted earnings per share of \$1.85.

Now, let me provide some additional context on the conditions impacting issuance levels and our revised full-year outlook for MIS.

At the beginning of this year - like others in the market - we anticipated that elevated levels of inflation would be transitory and slowly abate over the course of 2022. Instead, the conflict in Ukraine further impacted market confidence, and commodity price shocks pushed inflation higher. These factors prompted central banks to raise interest rates further and faster than expected - to levels we haven't seen for more than a decade - and resulting in ongoing uncertainty and volatility in the capital markets.

Meanwhile, corporate balance sheets remained robust following a surge in opportunistic pandemic-era financing, allowing issuers to stay on the sidelines given market conditions.

We expect these macroeconomic and geopolitical conditions will continue to mute issuance levels at least through year-end. In light of this, we are updating our guidance for 2022 MIS-rated issuance to decline in the mid 30's percent range. Full year MIS revenue is now projected to decrease by approximately 30 percent.

While the outlook for next year will depend on the pace and scope of market stabilization and recovery, we are confident that conditions will improve over time and that the key growth drivers for issuance will resume.

This year, only a little more than a quarter of the first-time mandates that we have signed have gone to market, meaning there is a backlog waiting to tap the markets. To leverage those opportunities, our teams have been engaging extensively with investors and issuers. We haven't been sitting still. We have been building our domestic rating franchises, including in Africa with the majority acquisition of GCR

and across Latin America through Moody's Local. And we've made significant progress in digitizing our content to both improve customer experience but also to drive increased usage. As we look ahead, our pricing opportunity remains intact, and we know that there are over \$4 trillion dollars in refunding needs that will likely be refinanced over the coming four years.

In short, we're continuing to deliver on our differentiated strategy to be the agency-of-choice for our customers, while current conditions for MIS are challenging, as those ease, issuance will accelerate and we will be well-positioned to capture growth and operating leverage through our extensive market presence.

Now turning to MA, which, despite the challenging market conditions, delivered another impressive quarter of revenue growth and margin expansion.

With 59 consecutive quarters of revenue growth, MA has proven to be 'acyclical' and the third quarter was no different. MA reported 14% revenue growth, or 9% on an organic constant currency basis. With best-in-class retention rates and growing customer demand, MA also achieved 9% ARR growth for the third quarter, and that's inclusive of RMS.

We are confirming our top-line revenue guidance for 2022. MA full year revenue is expected to increase in the mid-teens percent range – despite a five-percentage point headwind from foreign exchange rates. We expect ARR to accelerate to low double-digit percent growth by year end. We are also raising the MA adjusted margin guidance to approximately 30 percent - a 100-basis point increase over our prior guidance, reflecting ongoing operating leverage.

Let me take a moment to highlight our fastest-growing business: and that's KYC and Compliance Solutions.

In recent years, we have invested – both organically and inorganically – in acquiring, developing and integrating data, analytics and technology to create a world class set of solutions. This combination supports new use cases around counterparty verification, and that's enabling us to grow with existing customers and add new customers in areas like the fintech, corporate and government sectors.

We continue to receive industry awards and recognition including, most recently, a top-right quadrant positioning from Chartis. We also won the A.I. Breakthrough award for our innovative solution for fraud prevention, one of an increasing number of places where we're being recognized for the integration of artificial intelligence into our solutions.

Also, as we pass the one-year anniversary of the RMS acquisition, let me give a quick update on that. We are on track to achieve the financial targets announced last August – and I am excited about the opportunities that are in front of us.

We are laser-focused on maximizing our synergy opportunities by launching new products and pursuing markets that leverage our combined capabilities and strengths. For example, this past quarter, we launched our ESG underwriting solution for P&C insurers, which integrates Moody's extensive data to help them operationalize ESG risk assessment into their insurance underwriting workflows.

I want to also recognize the great work being done by our colleagues at RMS. In my meetings with customers over the last few months, I've heard firsthand about how important our solutions are in helping the industry address an increasing array of risks, including recently as we assisted our customers in rapidly quantifying the financial impact of hurricanes Fiona and Ian.

Now, moving to the restructuring plan that I mentioned earlier on our last earnings call. We said we would take additional actions to manage expenses and improve operational leverage if we observed further deterioration in the external environment.

Given our view that the weakness in the issuance market will likely persist through at least the fourth quarter of 2022, our teams have undertaken a careful review and prioritization of ongoing initiatives, and we have identified several avenues for meaningful savings.

We are expanding our Restructuring Program to more than double, providing up to \$135 million dollars in savings in 2023 from a combination of rationalizing our real estate footprint and reducing our global workforce to reflect the reality of the current market environment.

We have also undertaken a careful prioritization of ongoing initiatives in light of our current business priorities and that has identified up to \$100 million in additional savings.

Collectively, these are projected to lower our 2023 expense run rate by at least \$200 million dollars.

As we take these decisive actions, we will be mindful to invest and allocate resources to maintain the rigor and quality of our ratings and processes.

These are challenging and uncertain times and we are prioritizing financial discipline today and making sure that we're well-positioned to capture growth opportunities tomorrow.

That concludes my prepared remarks. Mark and I would be pleased to take your questions.

"Safe Harbor" Statement under the Private Securities Litigation Reform Act of 1995

Certain statements contained in this release are forward-looking statements and are based on future expectations, plans and prospects for Moody's business and operations that involve a number of risks and uncertainties. Such statements involve estimates, projections, goals, forecasts, assumptions and uncertainties that could cause actual results or outcomes to differ materially from those contemplated, expressed, projected, anticipated or implied in the forward-looking statements. Stockholders and investors are cautioned not to place undue reliance on these forward-looking statements. The forward-looking statements in this release are made as of the date hereof, and Moody's undertakes no obligation (nor does it intend) to publicly supplement, update or revise such statements on a going-forward basis, whether as a result of subsequent developments, changed expectations or otherwise, except as required by applicable law or regulation. In connection with the "safe harbor" provisions of the Private Securities Litigation Reform Act of 1995, Moody's is identifying certain factors that could cause actual results to differ, perhaps materially, from those indicated by these forward-looking statements. Those factors, risks and uncertainties include, but are not limited to the impact of general economic conditions, including inflation and related monetary policy actions by governments in response to inflation, on worldwide credit markets and economic activity and its effect on the volume of debt and other securities issued in domestic and/or global capital markets; the global impacts of each of the crisis in Ukraine and COVID-19 on volatility in the U.S. and world financial markets, on general economic conditions and GDP in the U.S. and worldwide, on global relations and on Moody's own operations and personnel; other matters that could affect the volume of debt and other securities issued in domestic and/or global capital markets, including regulation, credit quality concerns, changes in interest rates, inflation and other volatility in the financial markets; the level of merger and acquisition activity in the U.S. and abroad; the uncertain effectiveness and possible collateral consequences of U.S. and foreign government actions affecting credit

markets, international trade and economic policy, including those related to tariffs, tax agreements and trade barriers; the impact of MIS's withdrawal of its credit ratings on Russian entities and of Moody's no longer conducting commercial operations in Russia; concerns in the marketplace affecting our credibility or otherwise affecting market perceptions of the integrity or utility of independent credit agency ratings; the introduction of competing products or technologies by other companies; pricing pressure from competitors and/or customers; the level of success of new product development and global expansion; the impact of regulation as an NRSRO, the potential for new U.S., state and local legislation and regulations; the potential for increased competition and regulation in the EU and other foreign jurisdictions; exposure to litigation related to our rating opinions, as well as any other litigation, government and regulatory proceedings, investigations and inquiries to which Moody's may be subject from time to time; provisions in U.S. legislation modifying the pleading standards and EU regulations modifying the liability standards, applicable to credit rating agencies in a manner adverse to credit rating agencies; provisions of EU regulations imposing additional procedural and substantive requirements on the pricing of services and the expansion of supervisory remit to include non-EU ratings used for regulatory purposes; uncertainty regarding the future relationship between the U.S. and China; the possible loss of key employees; failures or malfunctions of our operations and infrastructure; any vulnerabilities to cyber threats or other cybersecurity concerns; the timing and effectiveness of our restructuring programs, such as the 2022 - 2023 Geolocation Restructuring Program; currency and foreign exchange volatility; the outcome of any review by controlling tax authorities of Moody's global tax planning initiatives; exposure to potential criminal sanctions or civil remedies if Moody's fails to comply with foreign and U.S. laws and regulations that are applicable in the jurisdictions in which Moody's operates, including data protection and privacy laws, sanctions laws, anti-corruption laws, and local laws prohibiting corrupt payments to government officials; the impact of mergers, acquisitions, such as our acquisition of RMS, or other business combinations and the ability of Moody's to successfully integrate acquired businesses; the level of future cash flows; the levels of capital investments; and a decline in the demand for credit risk management tools by financial institutions. These factors, risks and uncertainties as well as other risks and uncertainties that could cause Moody's actual results to differ materially from those contemplated, expressed, projected, anticipated or implied in the forward-looking statements are described in greater detail under "Risk Factors" in Part I, Item 1A of Moody's annual report on Form 10-K for the year ended December 31, 2021, and in other filings made by Moody's from time to time with the SEC or in materials incorporated herein or therein. Stockholders and investors are cautioned that the occurrence of any of these factors, risks and uncertainties may cause Moody's actual

results to differ materially from those contemplated, expressed, projected, anticipated or implied in the forward-looking statements, which could have a material and adverse effect on Moody's business, results of operations and financial condition. New factors may emerge from time to time, and it is not possible for Moody's to predict new factors, nor can Moody's assess the potential effect of any new factors on it.